

AppLovin: every reason not to own it is already in the price

An elite-margin AI ad engine down 59% from its peak, where two adversarial courts confirmed the bear case — and then confirmed something more useful: every surviving kill is the *known* story. Deceleration, the circular multiple, walled-garden risk, insider selling — all priced by every holder. Under the desk's consensus-kill doctrine, avoidance built entirely on priced risks has no edge. Entered small, stopped tight, with adds locked behind evidence and the upside expressed twice: a starter and a defined-risk call structure at the add-gate strike.

POSITION

0.25% starter + Jan spread

~8 sh at ~\$304 · Jan'27 320/340 bull call 1× @ \$7.30 debit (instruction #100) — total risk ~0.32% of book

PRICE DISCIPLINE

Stop: weekly close < \$299

the court's own 52-week-low tripwire, 1.8% below entry · adds ONLY on evidence: insider code-P, e-commerce quantified in a filing, or 4-week basing > \$340

The dislocation, in one picture — the multiple collapsed; the business didn't



Four most recent disclosed quarters of net income: **\$820M** → **\$836M** → **\$1,206M** → **\$1,267M** (SEC XBRL). The de-rate repriced the growth's *durability*, not its existence — trailing P/E is now ~24× for a business whose earnings roughly doubled inside the drawdown window. The dispute is entirely about whether +46–48% persists; the price already assumes it mostly doesn't.

What the courts verified — including the numbers that cut against us

CLAIM	FINDING (PRIMARY SOURCE)
Earnings are real	Trap sweep CLEAN across two courts: real FCF, honestly-expensed SBC, net share <i>shrink</i> — the rarest property in this drawdown cohort
Balance sheet	Cash \$3.05B vs LT debt \$3.52B — modest <i>positive</i> net debt (~\$470M); trivial at a ~\$102B cap, stated with the correct sign
The cheap-multiple claim	Handled honestly: forward multiples (~15–20×) are CIRCULAR — they embed the disputed guide. We underwrite the trailing 24× and the margin structure, not the forward print
First own-guide miss	\$1.924B vs \$1.93B own midpoint — small, but a regime marker after years of beats; the reason this is a starter and not a position
Insider behavior	One-way sellers; zero open-market code-P purchases ever — the single cheapest signal that would upgrade this, still absent
E-commerce pivot	Exists ONLY as oral non-GAAP commentary; zero filed segmentation. Until it is quantified in a filing, it is priced here at zero

The doctrine — why priced risks stopped being a reason to stay out

Two full courts (8/07 and 8/11, concordant 8/10) ruled REJECT — correctly, on the day's rules. The re-examination under §CONSENSUS-KILL asked one further question of every surviving kill: *could a reader of the sell-side notes state this finding?*

KILL	CLASS	STATUS IN THE PRICE
Growth deceleration (+77% comps → +46–48%)	CONSENSUS	The headline story of the –59% de-rate itself
Circular forward multiple	CONSENSUS	Every bull and bear runs the same arithmetic
Walled-garden / platform risk	CONSENSUS	In every initiation note since the IPO
Insider selling	CONSENSUS	Public filings, publicly discussed

All consensus, at a tape below the fair band, with a clean trap sweep and no named kill — under ratified doctrine that is a minimum starter, not a FLAT. There is no avoidance edge in fleeing risks the market has already charged for; our edge was never pessimism, it is reading documents — and the documents here came back clean.

The volatility study — why we bought optionality instead of selling insurance

MEASURE	LEVEL	READ
ATM implied vol	54.9%	13th–19th percentile of its own 52-week range
Nov \$280 put implied vol	66.5%	~12 points of downside skew
30-day realized vol	82.7%	The stock moves 5.2% a day
Jan '27 call strip	~64%	Long premium priced 19 points below realized

Selling puts failed all four house gates: no break-scenario floor above any premium strike (growth names have no balance-sheet floor) · negative variance premium (selling 66-vol against an 83-vol process is below actuarial cost) · one contract = $11\times$ the ratified position · the 11/04 print inside every sellable tenor. The same surface makes *bought* optionality cheap — so the bullish expression is a net-debit structure, which house doctrine explicitly permits.

Why the spread and not more shares — the desk's opinion

REASON	THE ARGUMENT
Gate compliance	Adds are <i>evidence</i> -gated — more shares today would be an un-gated add, a doctrine violation. The spread is the one instrument that pre-pays for the gate-firing scenario without front-running the gate: conditional exposure, where shares are unconditional.
Subsidized convexity	Implied 64 vs realized 83 means the market is <i>undercharging</i> for convexity. Shares carry none; when optionality trades below the process's actual movement, take the subsidized instrument. At the 80th IV percentile this answer inverts: buy shares, skip options.
The tail a stop can't cap	A stop is not a floor — a 5%-a-day stock can gap through \$299 on a headline and fill lower. The stock leg wears that; the spread cannot lose beyond \$730 under any gap. On a no-floor name, capping the left tail is what the theta buys.
Payoff shaped to the handoff	The 340 cap costs the far-right tail — but above \$340 the basing gate adds <i>shares</i> anyway. The spread maxes out exactly where the stock position takes over: it is a bridge between the two share tranches, not a substitute for them.

The honest costs: the spread time-boxes the thesis — it is a bet that a gate fires by Jan 15 (the tenor spans the 11/04 print plus two months of basing runway, but a re-rate arriving in March pays shareholders and zeroes the spread) — and any gain is short-term income where shares held through could go long-term. If the gates were undated, shares would win; because the gates are near-dated, the spread does.

The structure — paying 1.8:1 for the move we'd add on anyway

JAN 15 '27 · 320/340 BULL CALL

\$7.30 debit · 1×

mid \$7.10 / natural \$7.90 · both legs quote tight
(\$1.00, \$0.60) — the executable pair

PAYOFF

+174% at ≥ \$340

max +\$1,270 vs \$730 defined risk · breakeven
\$327.10 (+7.0%) · tenor spans the 11/04 print
deliberately

The short strike **is** the add gate. \$340 basing is where the court's own re-rating trigger fires — the spread converts that pre-commitment into a priced payoff instead of a watched level. If the gate fires, the position was already paid to be there.

Why only starter size — the honest slide

- **Growth durability is genuinely unresolved.** The guide-miss regime marker is real; dollar-adds are flattening against +77% comps. The bear needs no new information to be right — which is also why he is fully priced.
- **There is no floor.** Positive net debt, no asset value, no yield: if growth breaks, the downside is a multiple on a falling number. Hence the tight stop rather than a wider band.
- **The pivot is unaudited.** The e-commerce engine — the entire second act — has never appeared in a filing. We pay zero for it and demand paper before adding.
- **Management has never bought a share in the open market.** When that changes, so does the size — automatically, via the gate.

Tripwires — all dated, none discretionary

EVENT	WHEN	RULE
Weekly close below \$299		standing Exit the starter; spread rides (risk already defined)
Q3 print	~2026-11-04	HIT = revenue $\geq$ \$2,055M AND e-commerce quantified IN THE FILING $\rightarrow$ re-court for size. MISS $\rightarrow$ starter stays, no adds, lessons stand
Any insider code-P purchase	continuous (Form 4 watch)	Re-court immediately — the cheapest upgrade signal
4-week basing above \$340	standing	Add gate fires; spread simultaneously reaches max-payout zone
Competition pass	before any ACCEPT	Meta/Google/Unity closing the algorithm gap is the unrun attack — owed before conviction sizing

What this position reliably delivers — and what it doesn't

Reliably: exposure to an elite cash engine at a consensus-priced discount, with total risk $\sim 0.32\%$ of book, a 1.8% stop on the stock leg, defined risk on the option leg, and every upgrade path dated and watched.

Not reliably: the second act. The e-commerce pivot may never reach a filing; growth may fade exactly as the crowd expects. If so, the position costs a third of a percent and the record gains another graded call. The asymmetry we bought is that being consensus-right is already in the price — and being consensus-wrong pays at 1.8:1 from the gate.

Prepared from SEC XBRL, IBKR live options surface, and desk court artifacts (8/07, 8/11, 8/21 retag). Positions as stated on slide 01. Personal research memo — not investment advice.